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UNIVERSITY OF CAMBRIDGE INTERNATIONAL EXAMINATIONS
General Certificate of Education Ordinary Level

COMMERCE **7100/01**

Paper 1 Multiple Choice **May/June 2007**

1 hour

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

9067404258

READ THESE INSTRUCTIONS FIRST

Write in soft pencil.
Do not use staples, paper clips, highlighters, glue or correction fluid.
Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

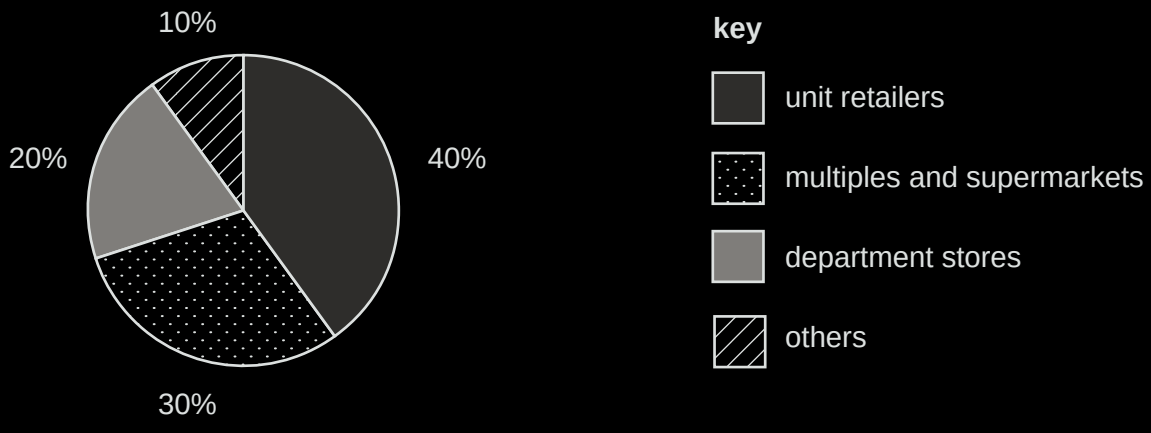
There are **forty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A**, **B**, **C** and **D**.
Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

Read the instructions on the Answer Sheet very carefully.

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.
Any rough working should be done in this booklet.
The businesses described in this question paper are entirely fictitious.

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What is the value of total sales of unit retailers?

A $20 bn **B** $40 bn **C** $60 bn **D** $80 bn

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Which document completes this sequence of commercial documents?

A consignment note

B credit note

C invoice

D receipt

11 Why is the amount of cash discount **not** shown on an invoice?

A Cash discount has already been deducted from the purchase price.

B Cash discount is allowed only if prompt payment is made.

C The goods are purchased in bulk.

D The invoice is a summary of many transactions.

12 The cost price of a jumper is $30. The selling price is calculated by adding a 10 % mark-up.

What is the total selling price of 20 jumpers?

A $330 **B** $540 **C** $600 **D** $660

13 Money placed in a deposit account with a commercial bank earns

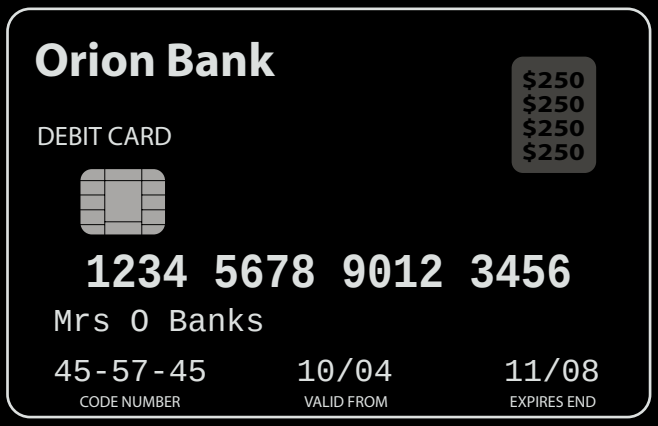
A interest after a period of 3 months.

B interest from the day of deposit.

C no interest at all.

D no interest after a period of 3 months.

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What is the purpose of this card?

A to borrow money from the bank

B to buy now and pay later

C to make immediate payment to a retailer

D to withdraw $500 in cash at any one time

15 Which telecommunication service enables a business person to contact his office when travelling?

A cell phone

B fax

C intranet

D pager

16 Forcel Ltd in Pakistan urgently needs machine parts from its factory in the UK.

Which method of communication would be most suitable to place this written order?

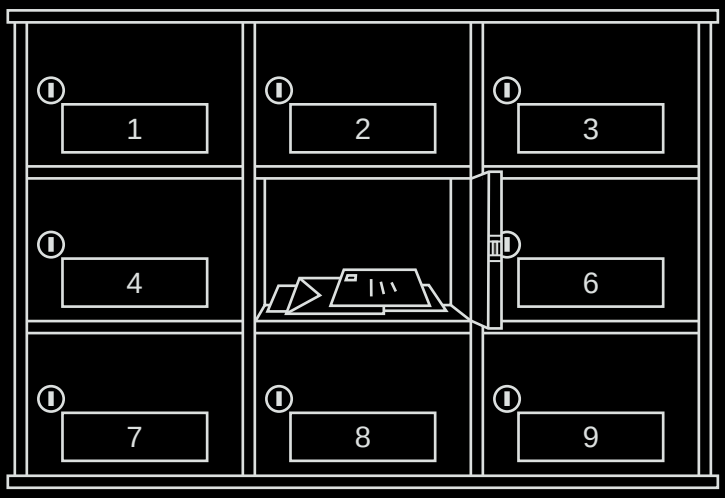
A airmail letter

B email

C telephone

D videoconferencing

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A letterpost

B night safes

C private boxes

D registered mail

18 What is the purpose of an advertising campaign for the advertiser?

A to fix the price of goods

B to improve the quality of goods

C to know what goods are required

D to sell more goods than before

19 Why would a tractor manufacturer advertise in a trade journal?

A to give detailed technical information

B to make use of cheap advertising space

C to obtain international coverage

D to reach a mass audience

20 What are electronic advertising boards called?

A competitive advertising

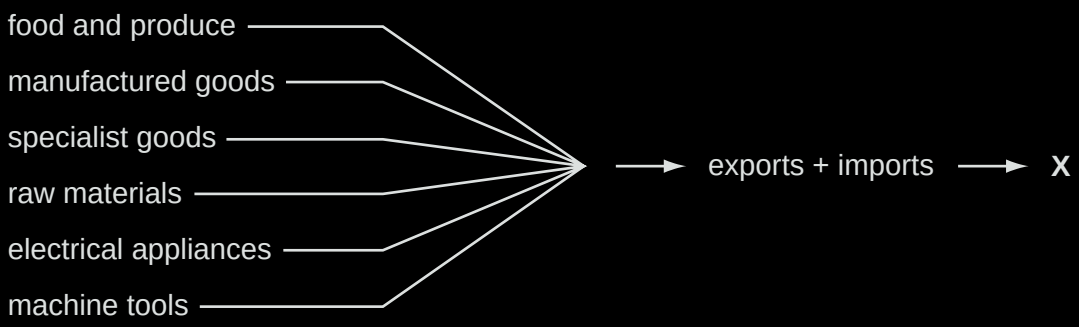
B digital billboards

C posters

D sales promotion

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What does **X** represent?

A balance of payments

B invisible trade

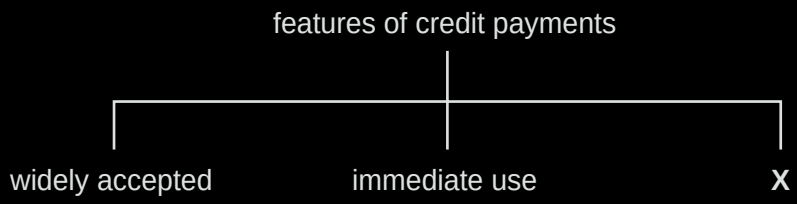
C visible trade

D wholesale trade

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What is **X**?

A easily transferred

B liquidity

C postponement of payment

D suitable for small payments

40 Which method of safeguarding consumers against unfair trading practices is likely to be **most** effective?

A codes of practice set up by trading organisations

B consumer groups set up in small towns

C inspection of business premises by government officials

D legislation by governments

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